EXECUTIVE SUMMARY

1. Introduction:

For more than 95 years, since it was separated from its mother town Amulung, the Municipal Government of Baggao has been seated at the Centro or Poblacion. The Poblacion or Centro founded almost a century ago is no longer the center today. Basing on the context of "ripple effect" approach of development, the present site of the Municipal Government of Baggao has already become misplaced and unstrategically located as its pivotal role of or equal government services and opportunities has already waned.

The town is currently headed by Hon. Leonardo C. Pattung who is on his third consecutive term as the Local Chief Executive. The municipal government's primary concern is to deliver basic services to its constituents, generate income for the Municipality through collection of local taxes and provide its officials and employees timely payment of salaries and benefits.

Scope of the Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipality for the year 2016. The audit consisted of review of operating procedures, inspection of projects on selected basis, interview of and meeting with concerned local government officials and employees. Verification, reconciliation and analysis of accounts, and such other auditing procedures considered necessary under the circumstances.

2. Financial Highlights:

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2016, with comparative figures for CY 2015, are as follows:

Particulars	2016	2015	Increase (Decrease)
Financial Condition			
Total Assets	₱ 506,181,716.82	448,366,040.10	₱57,815,676.72
Total Liabilities	₱ 108,417,453.72	107,754,414.17	₱ 663,039.55
Total Government Equity	₱ 397,764,263.10	340,611,625.93	₱57,152,637.17
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	₱264,606,780.43	238,594,058.70	₱26,012,721.73

Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations)	₱196,599,189.49	171,357,386.79	₱25,241,802.70
Appropriations, Allotments and Obligations			
Appropriations - Current	₱281,716,100.35	253,390,392.83	₱28,325,707.52
Appropriations - Continuing	₱ 69,868,212.53	67,691,475.84	₱ 2,176,736.69
Allotments - Current	₱281,716,100.35	248,116,825.25	₱33,599,275.10
Allotments - Continuing	₱ 69,868,212.53	64,561,016.84	₱ 5,307,195.69
Obligations - Current	₱194,183,822.53	169,898,163.71	₱24,285,658.82
Obligations - Continuing	₱ 40,520,111.67	32,485,586.88	₱ 8,034,524.79
Funds Received from Other Agencies:			
NGAs	₱31,830,050.00	22,169,650.87	₱ 9660,399.33
LGUs	₱ 200,000.00	1,000,000.00	₱ (800,000.00)
NGO/POs		0.00	
Others	₱ 400,000.00	0.00	₱ 400,000.00
Total	₱32,430,050.00	₱ 23,169,650.87	₱ 9,260,399.13
Funds Transferred to Other Agencies			
NGAs	₱ 0.00	0.00	₱ 0.00
LGUs	₱ 0.00	0.00	₱ 0.00
NGO/POs	₱ 0.00	0.00	₱ 0.00
Others	₱ 0.00	0.00	₱ 0.00
Total	₱ 0.00	0.00	₱ 0.00

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements for the year ended December 31, 2016 due to the effects on the unreconciled amount of ₱38,822,162.56 between the property and accounting records; school buildings and day care centers in the amount of ₱13,741,284.24 and ₱2,693,826.85, respectively, still recorded in the books of accounts and not yet transferred to recipients schools and barangays; and long outstanding loans receivables of ₱2,093,525.00.

4. Summary of Significant Observations and Recommendations

1. The reliability, accuracy and correctness of Property, Plant and Equipment (PPE) balance of P306,162,202.89 as of December 31, 2016 is doubtful due to incomplete physical count conducted on the properties. Further, the property and accounting records showed a difference of ₱38,822,162.56.

We recommended the Local Chief Executive to direct:

a) the General Service Officer to conduct complete actual physical inventory to ensure completeness and existence of the PPE as of a given period;

b) the Accounting and Property Offices to conduct reconciliation on the difference noted in the amount of ₱38,822,162.56.

2. The Municipality incurred the total amount of ₱6,232,491.57 for the repair and maintenance of motor vehicles and heavy equipment without complying with the required documents prescribed under COA Circular 2012-001 dated June 14, 2012.

Further, pre and post repair inspections were not conducted thus, the veracity of the repairs to be made could not be ascertained.

We recommended that the Municipal Accountant verify the completeness of the supporting documents before approving the disbursement vouchers.

Further, we recommended management to designate a technically and knowledgeable employee to conduct the pre and post-inspection activities of motor vehicles/equipment subject for repair to ensure the validity the repair to be made. Likewise, the spare parts replaced should be included in Report of Waste Materials and form part as supporting document of the Disbursement Voucher.

3. School Buildings and Day Care Centers with a total value of ₱13,741,284.24 and ₱2,693,826.85, respectively, were not yet transferred to the recipient schools/barangays as end-users for proper accountability contrary to Section 58 of P.D. 1445.

We recommended that management request the Sangguniang Bayan for the approval of a resolution effecting the transfer the ownership of the school buildings and day care centers to recipient school/barangay in order to establish property accountability. The transfer should likewise be covered by a Deed of Donation executed between the recipient and the Municipality of Baggao.

4. Loans for livelihood and entrepreneurship which were granted to private individuals amounting ₱2,093,525.00 remained uncollected due to laxity of management to enforce strict collection thereof contrary to Section 2 of PD 1445.

We recommended that management send demand letters to all loan borrowers, and/or refer to legal office for the necessary action to enforce collection

thereof. If collection is nil, management should request for write off to COA in accordance with existing regulations.

5. Summary of Total Suspensions/Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱993,795.68	0.00	0.00	₱993,795.68	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	₱993,795.68	0.00	0.00	₱993,795.68	0.00
Disallowances					
Prior Years	₱0.00	₱0.00	₱0.00	₱0.00	₱0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	₱0.00	₱0.00	₱0.00	₱0.00	₱0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Of the 6 audit recommendations embodied in previous annual audit reports, one (1) was fully implemented, one (1) was partially implemented and four (4) were not implemented.